Chapter 3 — Legal and regulatory map

Scope: what Indian law asks of a towing and roadside-assistance platform that (a) sells to consumers online, (b) works with independent tow operators and fleet companies, (c) handles personal and location data, and (d) collects money and issues GST invoices. Status is as of November 2026.

> **Not legal advice.** This is a research map to brief a Delhi startup lawyer and a chartered accountant, who must confirm every row before launch. Items marked ⚠ **confirm** are open questions where the answer depends on facts or on rules not yet notified.

3.1 Summary — what is mandatory before the first paying customer

#	Requirement	Law	Status in product	Owner
1	Incorporated entity (private limited recommended)	Companies Act 2013; Consumer Protection (E-Commerce) Rules 2020, Rule 4(1)(a)	Entity details are admin settings (placeholders today)	Founder + lawyer
2	Legal name, address, contact details and **named Grievance Officer** on the website; acknowledge complaints within 48 h, resolve within 1 month	E-Commerce Rules 2020, Rules 4 & 5; IT (Intermediary) Rules 2021	Grievance page exists; officer name field missing	Founder
3	Privacy Policy that matches real data practices	IT Act s.43A + SPDI Rules 2011; DPDP Act 2023 (phased)	Template exists; needs subprocessors, retention, cookie section	Lawyer + eng
4	Terms of Service, Cancellation & Refund policy shown **before** payment; no dark patterns	Consumer Protection Act 2019; E-Commerce Rules; Dark Patterns Guidelines 2023	Templates exist; acceptance is not recorded yet	Lawyer + eng
5	GST registration, tax invoices, returns	CGST/IGST Acts	Invoicing built (SAC, CGST/SGST/IGST split, FY numbering)	CA
6	DLT registration for SMS (sender ID + templates)	TRAI TCCCPR 2018	MSG91 adapter ready; DLT pending	Ops
7	Partner agreements (driver, fleet)	Indian Contract Act 1872; IT Act s.10A	Templates + e-sign flow built	Lawyer
8	Partner vehicle and driver compliance checks	Motor Vehicles Act 1988; CMVR 1989	Licence number field only; **document upload/verification missing**	Ops + eng
9	Security practices, 180-day logs, 6-hour incident reporting	CERT-In Directions (28 Apr 2022); SPDI Rules	Audit log exists; log-retention policy and incident plan to be written (see `docs/operations/INCIDENT-RESPONSE.md`)	Eng

3.2 Detailed map

A. Company, e-commerce and consumer protection

- **Consumer Protection (E-Commerce) Rules 2020.** These apply to entities selling goods *or services* over a digital network. Covered entities must be a Companies Act company (or a specified foreign entity). They must display legal name, address, customer-care and grievance-officer details, show the total price including taxes before purchase, and handle complaints within the set timelines. The research you supplied notes amendments notified in September 2026 that take effect on **1 January 2027**, adding more disclosure and dark-pattern duties. ⚠ **confirm** the final amended text with counsel.
- **Guidelines for Prevention and Regulation of Dark Patterns, 2023.** No false urgency, drip pricing, forced sign-up, hidden subscription or confusing cancellation. *Product impact:* our night/surge surcharge is shown in the quote breakdown, which is good. The offer countdown is for drivers, not customers. Keep surge capped and visible.
- **Unfair contract terms.** The Consumer Protection Act 2019 lets consumer commissions strike down one-sided terms. A liability cap "limited to the fare" may not survive negligent damage to a car worth lakhs. Pair it with a real claims process and insurance (chapter 4, risk R5).

B. Information technology and data protection

- **IT Act 2000, s.43A and SPDI Rules 2011.** Covered businesses must publish a privacy policy and keep "reasonable security practices", documented in an information-security programme. ISO 27001 is one way to show this, but it is not mandatory. *Sensitive data we hold:* bank details and UPI IDs of partners, and passwords (none; we use OTPs).
- **IT (Intermediary Guidelines and Digital Media Ethics Code) Rules 2021.** Relevant to the extent the platform is an intermediary (user reviews, partner listings): publish rules and a user agreement, and name a grievance officer.
- **Digital Personal Data Protection Act 2023 and DPDP Rules 2025.** These come into force in phases. Under the commencement notification, the main notice, consent, security, breach-notification, children's-data and data-principal-rights duties apply from about **13 May 2027**. *Product impact (build before then):* itemised consent notice at booking and partner sign-up; consent records; withdrawal; **account deletion and data export** (missing today); retention schedule (e.g. booking data kept for the GST record period, analytics with no PII, as the tracking plan already requires); processor contracts with subprocessors (email, SMS, maps, Firebase, Razorpay, hosting); breach notification to the Data Protection Board and affected users.
- **Location data.** Drivers share continuous GPS while online. The partner agreement already covers this (clause 7.2). The privacy policy must say how long location history is kept. Today only the last point is stored on `Driver`; `BookingEvent` stores lat/lng at status changes.
- **CERT-In Directions 2022.** Report specified cyber incidents to CERT-In **within 6 hours** of noticing them. Keep ICT logs for a **rolling 180 days** (within Indian jurisdiction per the directions; see CERT-In FAQ on clarifications). Name a point of contact. *Product impact:* Vercel/Render logs are short-lived by default, so add a log drain to storage you control.
- **Electronic signatures. ⚠ important.** The current partner agreement says that typing a name plus an email OTP "constitutes a valid electronic signature under the IT Act 2000". Under the IT Act, a legally defined *electronic signature* means the methods notified in the Second Schedule (for example Aadhaar eSign or a digital signature certificate). A typed name with OTP is better described as an

electronically formed contract (s.10A IT Act plus the Indian Contract Act), backed by our audit trail of time, IP and OTP. **Recommendation:** soften that sentence now, and offer Aadhaar eSign (via an ASP such as Leegality, Digio or Signzy) for fleet-company agreements.

C. Tax

- **GST registration.** Registration is compulsory above the threshold (₹20 lakh aggregate turnover for services in most states), and may be compulsory regardless of turnover for some e-commerce arrangements. ⚠ **confirm with CA.** Rate: the product defaults to **18 % under SAC 996799** (other supporting services to transport). The CA must confirm the SAC and rate per service (towing, on-spot repair and fuel delivery may differ).
- **Who supplies the customer?** This is the most important tax question:
  - *Platform as principal* (current code: platform issues the invoice on the full fare). The platform charges GST to the customer on the full value. Partners supply *to the platform*, and their own GST registration and reverse-charge questions follow. The platform deducts **TDS under s.194C** when paying partners above the thresholds.
  - *Platform as e-commerce operator (marketplace)*. Partners are the suppliers. The platform collects **GST TCS under s.52 CGST** (0.5 % CGST + 0.5 % SGST, or 1 % IGST) and deducts **income-tax TDS under s.194-O at 0.1 %** (rate from 1 Oct 2024). Towing is **not** currently a s.9(5) service, where the operator itself pays the GST.
  - The choice changes invoices, ledger and returns. The code supports the principal model today, and the ledger already separates gross, commission and net per job.
- **Cash jobs.** Partners collect the full fare including GST, and the platform recovers commission plus GST through settlements (already modelled in the ledger as "providers owe platform"). This needs a clear recovery process and credit limits (chapter 4, risk R4).

D. Transport and vehicles

- **Motor Vehicles Act 1988 and Central Motor Vehicles Rules 1989.** Tow and recovery trucks must be registered in the correct body type ("breakdown van / recovery vehicle" or "crane-mounted vehicle", per the CMVR vehicle-type notifications). They need valid fitness, permit (where applicable), insurance and PUC, and drivers need a licence of the right class. *Product impact:* the `Truck` table already has insurance, permit and fitness expiry fields. Add document upload, verification and expiry alerts before scale.
- **Motor Vehicle Aggregator Guidelines 2025 (MoRTH, 1 July 2025).** These are written for **passenger** transport aggregators: state licence, ₹5 lakh fee, driver training, AIS-140 trackers, and fare caps up to 2× base at peak. Towing is not passenger transport, so they probably do not apply directly. States adopt them through their own rules, though, and the surge-cap principle is a useful benchmark. ⚠ **confirm** with counsel and watch Delhi Transport Department notifications.
- **Accident vehicles and police.** Vehicles in accidents with an FIR or medico-legal case may need police release before removal. Operations must check before dispatching **accident recovery** (SOP in `docs/operations/OPERATIONS-SOP.md`).
- **Statutory towing.** Towing illegally parked vehicles is done by Delhi Traffic Police contractors under separate rules. It is a different market, and we must not imply any police authority.

E. Labour and gig workers

- **Code on Social Security 2020.** Came into force on **21 November 2025** together with the other labour codes. It defines gig workers, platform workers and aggregators. Aggregators will contribute **1–2 % of annual turnover, capped at 5 % of amounts paid to gig/platform workers**, to a social security fund. **The rate and start date are not yet notified.** Budget for 1 % of turnover from year 2 (chapter 6). Whether a tow-truck *business owner* (rather than a driver) counts as a "platform worker" is a ⚠ **confirm** item.
- **State gig-worker laws** (Rajasthan 2023, Karnataka 2025 and others) add registration and welfare-fee duties where we operate. Track this before expanding beyond Delhi.
- **Own employees.** EPF/ESI once headcount thresholds are crossed. An internal POSH committee once there are 10+ employees. Delhi Shops & Establishments registration for the office.

F. Payments

- **RBI Payment Aggregator directions.** Use a licensed PA (Razorpay). If the platform collects money on partners' behalf and pays them out, use the PA's split or settlement product (e.g. Razorpay Route) rather than pooling funds in our current account. ⚠ **confirm** under the final principal/marketplace model.
- **Refunds.** Commit to refund timelines in the Cancellation & Refund policy (5–7 working days today) and keep them.

G. Insurance

- Partners must carry vehicle insurance and should carry **goods-in-transit / goods-in-custody** cover for customer vehicles.
- The platform should buy **commercial general liability** and **cyber** cover once live, and consider platform-level goods-in-tow cover from year 2.
- **RSA memberships are not insurance** if sold as a prepaid service contract (call-outs included). Do not describe them as insurance or promise indemnity, which would bring them under IRDAI. ⚠ **confirm** the membership terms with counsel.

H. Intellectual property

- **Trademark search and filing** for the brand (Form TM-A, Class 39 transport/towing, Class 9/42 software). Fee: ₹4,500 per class for startups/small entities online.
- **Code ownership:** written IP assignment from every contributor (founders, employees, contractors), as required by Copyright Act s.19.
- **Open-source licences:** all dependencies are permissive (MIT/Apache/BSD/ISC). OpenStreetMap data and tiles need attribution under ODbL, which Leaflet shows by default. Public OSM tiles, Nominatim and OSRM are fair-use only, so move to a paid or self-hosted provider before real traffic.

3.3 Compliance calendar

When	Item
Before launch	Rows 1–9 of §3.1; insurance; trademark search; soften e-signature wording
Monthly / quarterly	GST returns (GSTR-1, GSTR-3B); TDS returns (quarterly); grievance register review

When	Item
1 Jan 2027	E-Commerce Rules amendments take effect, so review the checkout, cancellation and pricing displays
By 13 May 2027	DPDP core obligations: consent manager readiness, deletion/export, breach process, processor contracts
On notification	Social-security fund contribution start date; any Delhi aggregator rules
Annually	ROC filings (AOC-4, MGT-7), income-tax return, statutory audit, policy review, security review